

public. CouponInfoNow, sponsored by Inmar, reported that major brands issued 367 billion coupons in 2009, at an average face value of \$1.44, an investment that indicated their commitment to promotions. The rise in coupon distribution and redemption continued into 2010, with an end-of-the-year report by NCH Marketing Services reporting that shoppers saved 3.7 billion dollars with coupons in 2010, a 5.7 percent increase from 2009. Marketers distributed 332 billion consumer packaged goods (CPG) coupons in 2010, the largest single-year distribution quantity ever recorded in the United States. Following those two record-breaking years coupon distribution in the CPR market stabilized in the first half of 2011. In a July 2011 mid-year report, NCH Marketing Services reported that consumers saved 2 billion dollars with coupons just in the first half of the year. According to NCH, a Valassis Company, by the third quarter of 2012, Consumer Package Goods (CPG) marketers were offering fewer and less attractive coupons to consumers, bringing the previous three years of coupon redemption growth to an abrupt halt. There was considerable variability across brands, companies, and categories, however, which diverged from the overall market trend. While there were 3.5 percent fewer grocery coupons being issued, there was actually a 10.4 percent increase in the amount of health and beauty coupons being issued. Those brands offering fewer coupons may have unintentionally given a competitive advantage to those who were still offering generous, high value coupons, as well as to store brands.

Overall, CPG marketers distributed 165 billion coupons during the first half of 2012, but grocery manufacturers cut distribution by a full 7 percent.